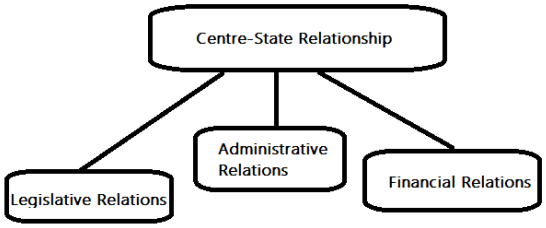
# Centre- State Relationship

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- Legislative Relation
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## Introduction

✓ The Centre-State Relations revolve around the fulcrum of distribution of powers between Centre and States. Distribution of powers is the foundational feature of federalism and in federal Constitutions there are three types of distributions, they are:




✓ 1. Legislative Power Distribution
✓ 2. Executive Power Distribution
✓ 3. Financial Power Distribution

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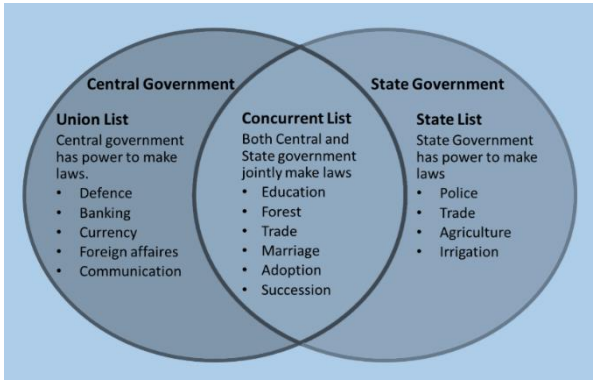
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**Director,**

**Department of Employment and Training.**

## Centre-state legislative relations:( Article 245- 255)

- Territorial extent of central and state legislation
  - Parliament: Entire or part of India (extraterritorial also).
  - State: Entire or part of the State; not beyond state borders unless related.
- Distribution of legislative subjects




- Parliamentary legislation in the state field
  - Rajya Sabha Resolution (2/3rd majority) → Centre can legislate.
  - National Emergency → Parliament legislates on State subjects.
  - President's Rule → Parliament legislates for that State.
  - International treaties → Parliament legislates on any subject.
- Centre's control over state legislation
  - Governor can reserve bills for Presidential consideration.
  - Prior Presidential sanction for specific bills.
  - President's direction during financial emergency.

# DEPARTMENT OF EMPLOYMENT AND TRAINING
# TNPSC GROUP IV – POLITY MINDMAP

## Administrative Relations (Articles 256–263)

**Distribution of Executive Powers**
- Centre: Union list matters + treaties.
- States: State list matters.
- Both: Concurrent list matters.

**Obligations**
- State must ensure Parliamentary laws are implemented.
- State must not prejudice Centre's executive power.

**Centre's Power to Direct States**
- Construction/maintenance of communications (military importance).
- Railway safety measures.
- Education for linguistic minorities.
- Welfare schemes for Scheduled Tribes.

**Integrated Judicial System**
- **Single system** for Centre & States
- **High Court Judges:**
  - Appointed by President (consult CJI + Governor)
- **Common High Courts:** Parliament can create for 2+ states

**Relations During Emergency**
- **National Emergency:**Centre can direct states on any matter
- **President's Rule:**President assumes state's executive powers
- **Financial Emergency:**Centre directs financial discipline
  - Reduction of salaries (State officials, HC judges)

**Public Service Commission**
- **State PSC:**Appointed by Governor
  - Removed by President
- **Joint PSC:**Created if two or more States request
  - Chairman/members appointed by President
- **UPSC Support:**On Governor's request + President's approval
  - Joint recruitment for specialized services

**All-India Services (AIS)**
- **Created under:** Article 312
- **Importance:**
  - High standard of administration
  - Uniformity across Centre & States

**Other provisions**

**Article 355**
- Imposes two duties on the Centre:
  - **Protection** of every state against external aggression and internal disturbance.
  - **Ensuring** that the government of every state is carried on in accordance with the provisions of the Constitution.

# Financial Relations (Articles 256–263)

The Indian Constitution distributes **financial powers** between the Union and State Governments, largely based on the **Government of India Act, 1935**.

## Tax Revenue Distribution

There are **five ways** in which tax revenues are distributed:

**Taxes Exclusively for the Union**

Levied and collected by the Centre.

Example: **Corporation Tax, Customs Duties**

**Taxes Exclusively for the States**

Levied and collected by the States.

Example: **Sales Tax (now GST subsumed most indirect taxes)**

**Taxes Levied by Centre, Collected and Appropriated by States**

Example: **Stamp Duties on Bills of Exchange**, some **Excise Duties**

**Taxes Levied and Collected by Centre, but Assigned to States**

Taxes assigned to the State where they are collected.

Example: **Advertisement taxes in newspapers**

**Taxes Levied and Collected by Centre, but Shared with States**

Distributed between Centre and States in a fixed proportion.

Example: **Income Tax (except agricultural income)**

## Non-Tax Revenue Distribution

**Union Government's Sources:**

Receipts from **industries and enterprises** under Union subjects:

**Railways, Posts & Telegraphs, Broadcasting, Industrial Finance Corporation**

**State Governments' Sources:**

Revenue from commercial enterprises under State jurisdiction:

**Forests, Irrigation, Electricity, Road Transport**

## Grants-in-Aid under Article 275

To meet special developmental needs, especially for **tribal welfare and backward regions.**

Example: Special grants to **Assam** and other states with tribal populations.

# DEPARTMENT OF EMPLOYMENT AND TRAINING
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## Commissions on Centre-State Relations

Central – State Relations

- **Administrative reform Commission**
- **Rajamannar Commission**
- **Venkatachaliah Commission**

**First ARC (1966)**:
- Chaired initially by **Morarji Desai**, later by **K. Hanumanthaiah**.
- Submitted **20 reports**, including significant recommendations on Centre-State relations.

**Second ARC (2005)**:
- Chaired initially by **Veerappa Moily**, later by **V. Ramachandran**.
- Reviewed the administrative system comprehensively, including Centre-State dynamics.

**Established by**: Tamil Nadu Government.(1969- 71)
**Chairperson**: **Justice P.V. Rajamannar** (Retired Chief Justice of Madras High Court).
- **Members**: Dr. A. Lakshmanaswamy and Dr. P. Chandra Reddy.

**Key Recommendations**:
- **Implementation of Article 263**:Formation of an **Inter-State Council** with Chief Ministers and Prime Minister..
- **Abolition of Articles 256, 257, 339(2)**:
- **Residuary Powers**:Should be transferred from the Union to the States.
- **Restricting Article 356**:
- Should be used *only* in cases of complete constitutional breakdown in a State, not for mere law and order issues.
- **Abolition of All India Services**:
- Recommended ending services like IAS, which were viewed as agents of the Union, against the spirit of federalism.
- **Financial Reforms**:
- Greater devolution of powers and resources to States.
- Amendments suggested in taxes like **corporation tax, customs, and export taxes**.

Recommended transferring several items from the **Union List and Concurrent List to the State List**.

- **Official Name**: National Commission to Review the Working of the Constitution (NCRWC).( 2000)
- **Set up :** under Prime Minister Atal Bihari Vajpayee.
- **Date of Establishment:** 22 February 2000.
- Chairperson: Justice M.N. Venkatachaliah (former Chief Justice of India).
- **Purpose:**
- To examine and recommend possible Constitutional amendments for better governance and protection of democratic institutions.

# DEPARTMENT OF EMPLOYMENT AND TRAINING
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## Central – State Relations

### Sarkariah Comission

- **Constituted by**: Union Government**.( 1983)**
- **Chairperson**: Justice **R.S. Sarkaria**.
- **Members**: B. Sivaraman and Dr. R.S. Sen.
- **Report Submitted**: After 5 years, with **247 recommendations**.

**Major Recommendations:**

**Inter-State Council**:

- Functions under Article 263(b) and (c):
- Opposed granting the Inter-State Council powers under Article 263(a) (no authority to inquire into and advise on inter-State disputes).
- Recommended creating an **independent, permanent secretariat** for the Inter-State Council.

**Article 356 (President's Rule)**:
Should be imposed **only as a last resort**.
**Governor**:
Rejected proposals to abolish the post of Governor or to require State consultation before appointment.
Suggested:

- Politically neutral and eminent persons should be appointed as Governors.
- Politically active persons or ruling party leaders at the Centre should **not** be made Governors, especially in States ruled by opposition parties.

**Language Policy**:Recommended strict adherence to the **three-language formula** to promote national unity and integrity.

### Punchhi Commission

- **Constituted by**: Union Government**.(2007)**
- **Chairperson**: Justice **Madan Mohan Punchhi** (former Chief Justice of India).
- **Report Submitted**: 2010.

**Major Recommendations:**

- **Governor's Office**:
  1. Governors should have a **fixed tenure**.
  2. Governors should be removed **only through an impeachment process**, similar to the procedure for the President of India.
- **Article 355 and 356 (Emergency Provisions)**:
  1. Recommended changes so that **only insurgency-affected areas/districts** (and not entire States) could be brought under emergency..
- **Deployment of Central Forces**:
  1. The Union Government should have the authority to **suo motu** deploy central forces in areas affected by **communal violence**, even **without the consent** of the State Government.

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# TNPSC GROUP IV – POLITY MINDMAP

| Category | Institution/Provision | Constitutional/Statutory Basis | Key Features | Structure/Leadership |
|---|---|---|---|---|
| **Constitutional Bodies** | **Inter-State Council** | Article 263 | Advises on disputes among States, promotes coordination, and investigates shared issues | Chaired by PM; includes CMs, 6 Union Ministers, and others |
| | **Finance Commission** | Article 280 | Recommends tax distribution, grants, and augmentation of local bodies' resources | 1 Chairman + 4 Members with diverse financial expertise |
| **Statutory Bodies** | **Zonal Councils** | States Reorganization Act, 1956 | Promote cooperation among States in 6 zones: North, South, East, West, Central, North-East | Chaired by Union Home Minister |
| | **River Boards** | River Boards Act, 1956 | Advise on regulation and development of inter-State rivers | Constituted by Centre |
| | **Water Disputes Tribunals** | Inter-State Water Disputes Act, 1956 | Adjudicates river water disputes; decision is binding; SC jurisdiction excluded | Headed by nominee of Chief Justice of India |
| **Political/Advisory** | **NITI Aayog** | Executive Resolution (2015) | Replaced Planning Commission; promotes cooperative federalism through strategic support | Chaired by PM; Governing Council includes CMs, Lt. Governors |
| **River Disputes** | **Adjudication Mechanism** | Article 262 + ISRWD Act, 1956 | Parliament can form tribunals and bar SC jurisdiction; decision binding | Tribunal members nominated by CJI |
| | **Examples** | - | Cauvery (TN, KA, KL, PY), Vamsadhara (AP, OD), Sutlej-Yamuna (PB, HR), Mahadayi (GA, MH, KA) | - |